

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Fuzzy Technologies ("Fuzzy") is a Hong Kong-based technological company producing high-tech products for the market. The product lines range from mobile phone gadgets to supercomputer parts.

To produce products that are well-received by consumers, Fuzzy closely monitors and studies the needs of the markets by understanding the consumer segments according to technological adoption.

Required:

Describe the diffusion of innovation model and explain how Fuzzy should pay attention to consumer segments when producing and promoting new technological products.

(10 marks)

Question 2 (10 marks – approximately 18 minutes)

Fresh and Delicious Sandwich ("F&D") commenced business in Hong Kong in 2004. Since then, it has become a well-known café chain in Hong Kong. F&D provides all kinds of fresh ingredients for customers to create their desired sandwiches and light food.

Every year the top management of F&D will monitor the market environment and formulate appropriate strategies for the whole business. The philosophy of F&D is "Create your favourite food with fresh ingredients". Thus, they have set up a comprehensive policy and system to search for tasty and quality food from different places, contract directly with different suppliers, and maintain a small stock of food ingredients to maintain their freshness.

F&D also promotes a happy working culture among employees. It believes that happy employees create happy customers. Thus, once the employees are hired, they will go through a series of induction programmes which let the new employees familiarise themselves with the organisational culture of the company and socialise with other employees and supervisors.

Each new employee is supervised by an experienced employee to deliver services to the customers. The experienced employees and supervisors closely monitor the new hires and give advice to them so that they can provide excellent service to customers.

F&D wants to act proactively in every aspect, from the procurement of food ingredients to the provision of services. Thus, they have set up a comprehensive monitoring system to manage the procurement and logistics of the food supplies, and they have set up regular meetings with the employees to communicate the targets of each month.

Based on all these approaches, F&D has become one of the most popular cafés in Hong Kong and has received many awards related to its brand and services.

Required:

- (a) State and explain the control system adopted by F&D. (2 marks)
- (b) State and explain FOUR management functions and illustrate with examples of what F&D has done. (8 marks)

Question 3 (10 marks – approximately 18 minutes)

Rose Aviation Limited ("Rose") is a traditional airline company developed and based in Hong Kong since 1984. It aims to provide excellent services and an enjoyable flying experience for individual and business passengers through its worldwide route coverage and comprehensive in-flight services. Rose believes that carrying passengers from one place to another place safely is of top priority. Thus, they regularly conduct flight maintenance and systems upgrades to ensure service quality. Moreover, all staff members are trained professionally to make sure the services provided are of excellent standards. They are also required to attend annual refresher courses related to safety and service issues.

Rose also introduced technology to ensure accurate and on-time flight schedules, ticketing services, and baggage claims for each passenger. With the adoption of technology, Rose has been able to reduce service failure by 85% this year.

Staff members are important elements in ensuring the provision of excellent service. Apart from comprehensive training programmes, including induction training for new hires, on-the-job training, periodic training, and refresher courses are provided to all staff in order to make sure their skills and services are current. Rose has also adopted attractive compensation and benefits packages for their staff members. Every staff member is eligible for an annual bonus and salary adjustments based on their individual- and team-based performance. Outport allowances are also reviewed every year based on different factors. Senior staff members are also given an opportunity to enjoy stock options based on the results of performance appraisals.

With all these comprehensive HR policies adopted by Rose, they have been able to attract high quality candidates for every hiring exercise. Once the job advertisement is posted on their company website, many applications are received. Moreover, Rose has opened many opportunities for promotion and transfer, and thus cabin crews can request to be transferred back to the office when there are vacancies.

Required:

- (a) State and explain the service element adopted by Rose. (2 marks)
- (b) Identify and explain any TWO functions of human resource management involved in Rose. (8 marks)

Question 4 (10 marks – approximately 18 minutes)

Jose is the Financial Manager of a property development company. He was recently asked by senior management to prepare a proposal for sourcing funds to support future property development in New Territories.

He understands that the company would like to proceed with this project, but the shareholders may not due to slowing economic growth.

Required:

- (a) Define stakeholders. (2 marks)
- (b) Identify and explain THREE factors to be considered when dealing with conflicting stakeholder interests. (3 marks)
- (c) Explain any TWO stakeholders involved in making financial decisions. (5 marks)

Question 5 (20 marks – approximately 36 minutes)

Easy Fitness ("E&F") was founded in Hong Kong in 2016. It was born out of a passion for fresh and healthy food and started with a small retail store in Lan Kwai Fong. In 2018, because of technological advancement and a change in the market environment, E&F started to expand its business to fitness lovers through a mobile application which provides recipes and suggestions to people who want to maintain a healthy body and figure. E&F also provides food delivery through the application.

The work-from-home trend has enabled E&F to further develop and enhance its application's functions. Apart from providing fitness food and recipes to fitness lovers, E&F has also designed fitness programme to fit the needs of the people who stay at home but still want to maintain a healthy and fit lifestyle. Therefore, E&F's application has quickly become the top ranked application in most mobile application stores. Initially, sales through the application kept increasing, but later E&F found that many similar applications entered the market, slowing the growth rate of E&F down in 2020.

Due to the slowing growth of revenue, E&F is thinking of expanding its market from Hong Kong to other territories. Indeed, some of the food ingredients are sourced from other areas as well, and thus E&F has already developed networks and relationships with these suppliers overseas. To reduce the potential risks and challenges in the developing countries, E&F would like to enter some countries in the Asia Pacific region, where economies are growing and political states are stabler. E&F hopes that its application, along with its recipes, can provide a better choice for overseas customers.

Required:

- (a) Identify and explain FOUR stages of product life cycle and state with reason which stage the E&F application belongs to.**

(10 marks)
- (b) Explain the importance of globalisation for E&F.**

(2 marks)
- (c) Identify and explain TWO factors to be considered when entering a new country for E&F.**

(4 marks)
- (d) Describe TWO potential risks that E&F should pay attention to when entering international markets.**

(4 marks)

Question 6 (20 marks – approximately 36 minutes)

Ng Wah Electronics Limited ("Ng Wah") is a company listed on the Stock Exchange of Hong Kong. Ng Wah was founded in 1980, and its main business is the design, development, manufacture, and sale of a wide range of electronic components, including different types of inductors, transformers, electrolytic capacitors, and electroceramics materials, among others. Its products have been widely adopted in different industry segments, including power supply devices, telecommunication equipment, digital audio-visual products, and handheld multimedia equipment.

Ng Wah understands that product quality is of paramount importance, and thus, they have invested a lot on research and development to upgrade and streamline their production processes and systems. Due to its dedicated team of research engineers, Ng Wah has become one of the major electronic components suppliers in Hong Kong.

Because of its success with manufacturing electronic components and its years of experience in the electronics industry, Ng Wah has started to consider providing consulting services to clients. Ng Wah believes this new initiative can help further develop the company. Ng Wah understands that producing electronic components and providing professional consulting services are completely different; thus, the senior management of the company is now formulating a proposal for this new initiative.

Required:

- (a) **Producing products and providing services are different. With reference to Ng Wah's situation, explain how services are distinct from products.** (8 marks)
- (b) **Ng Wah understands the importance of producing high quality electronic components to customers. Describe any SIX dimensions of quality for manufactured products that Ng Wah's customers may look for.** (12 marks)

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